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Key Metadata

Labour Act, 2074 (2017)

Law Information

Nepali Title	श्रम ऐन, २०७४
English Title	Labour Act, 2074 (2017)
Act Number	Act No. 11 of 2074 (2017 AD)
Certification Date	2074.6.29 BS (October 14, 2017 AD)
Commencement Date	2074.6.29 BS
Total Sections	121
Total Chapters	17
Primary Regulator	Ministry of Labour, Employment and Social Security; Department of Labour
Scope	Comprehensive regulation of employment relationships, conditions of work, remuneration, leave, health and safety, trade unions, collective bargaining, labour disputes, and labour courts

Summary

The Labour Act, 2074 (2017) is Nepal's principal legislation governing employment relationships, working conditions, and industrial relations. Enacted on October 14, 2017, this comprehensive Act replaces the previous Labour Act of 1992 and represents a significant modernization of Nepal's labour law framework. Organized into 17 chapters with 121 sections, the Act covers the entire spectrum of employment regulation including employment contracts, probation periods, working hours and rest periods, overtime, minimum wages, various types of leave (annual, sick, maternity, paternity, bereavement), occupational health and safety standards, security of employment and termination procedures, special protections for female workers and persons with disabilities, prohibitions on child labour, trade union formation and recognition, collective bargaining processes, labour dispute resolution mechanisms, Labour Court procedures, labour audit requirements, and a detailed offences and penalties framework. The Act introduces important progressive provisions including paid paternity leave, strengthened maternity protections, anti-sexual harassment measures, requirements for employers to formulate internal work policies, and mechanisms for addressing

contemporary workplace issues. It establishes a tripartite structure involving government, employers, and workers in labour governance and provides for both individual and collective dispute resolution pathways.

Preamble

Whereas it is expedient to make legal provisions relating to labour and employment in order to ensure labour rights, maintain good labour relations, and promote productivity;

Be it enacted by the Legislature-Parliament in the first year of its reign.

Chapter 1: Preliminary

Section 1: Short Title and Commencement

(1) This Act may be cited as the "Labour Act, 2074 (2017)".

(2) This Act shall come into force immediately.

Section 2: Definitions

In this Act, unless the subject or context otherwise requires:

- (a) "**Employee**" or "**Worker**" means a person employed in an enterprise with remuneration, and this term includes a home-based worker and a person employed on a piece-rate, contract, or commission basis.
- (b) "**Employer**" means the owner of an enterprise or a person designated by such owner for the management of the enterprise.
- (c) "**Enterprise**" means any industry, company, firm, association, or other organisation or establishment employing workers, which is registered under the prevailing law.
- (d) "**Remuneration**" means the basic remuneration, dearness allowance, and other cash payments made to a worker for his/her work, excluding overtime pay and special allowances.
- (e) "**Basic remuneration**" means the basic salary or wage as mentioned in the appointment letter or agreement between the employer and worker.
- (f) "**Minimum remuneration**" means the minimum remuneration fixed by the Remuneration Fixation Committee.
- (g) "**Overtime**" means work performed by a worker beyond the prescribed working hours.

- (h) "**Labour dispute**" means any dispute or difference between the employer and workers relating to employment, conditions of employment, or industrial relations.
- (i) "**Trade union**" means an organisation of workers formed for the protection and promotion of their occupational interests.
- (j) "**Collective bargaining**" means negotiation between the employer and the workers' representative organisation for the settlement of terms and conditions of employment.
- (k) "**Labour Court**" means the Labour Court established under this Act.
- (l) "**Labour inspector**" means a labour inspector designated under this Act.
- (m) "**Prescribed**" or "**as prescribed**" means prescribed or as prescribed in the Rules made under this Act.

Section 3: Application of the Act

- (1) This Act shall apply to all enterprises registered under the prevailing law.
- (2) Notwithstanding anything contained in Sub-section (1), this Act shall not apply to:
 - (a) Government services;
 - (b) Military and paramilitary services;
 - (c) Enterprises engaged in casual work of a seasonal nature as prescribed.

Chapter 2: Provisions Relating to Employment

Section 4: Appointment Letter

- (1) An employer shall, at the time of appointment of a worker, provide the worker with an appointment letter containing the following particulars:
 - (a) Name and address of the enterprise;
 - (b) Name and address of the worker;
 - (c) Nature of employment;
 - (d) Designation and class of work;

- (e) Remuneration and other benefits;
- (f) Working hours and holidays;
- (g) Probation period;
- (h) Leave provisions;
- (i) Social security provisions;
- (j) Terms and conditions of employment; and
- (k) Other matters as prescribed.

Section 5: Probation Period

- (1) The probation period of a worker shall be as follows:
 - (a) For skilled workers: a maximum period of six months;
 - (b) For semi-skilled workers: a maximum period of six months;
 - (c) For unskilled workers: a maximum period of three months.
- (2) The employer may, if the work of the worker during the probation period is not satisfactory, terminate the employment of the worker by giving seven days' notice.
- (3) A worker who has completed the probation period shall be deemed to be confirmed in employment.

Section 6: Internal Work Regulations

- (1) Every enterprise shall formulate internal work regulations containing the following matters:
 - (a) Working hours and rest periods;
 - (b) Weekly holidays;
 - (c) Leave provisions;
 - (d) Health and safety measures;
 - (e) Disciplinary procedures;
 - (f) Provisions relating to misconduct;
 - (g) Grievance handling procedures;

(h) Other necessary matters.

(2) The internal work regulations formulated under Sub-section (1) shall be submitted to the labour office for approval.

(3) The employer shall make the approved internal work regulations available to all workers.

Section 7: Identification Card

An employer shall provide an identification card to every worker employed in the enterprise.

Section 8: Service Book

(1) An employer shall maintain a service book for every worker employed in the enterprise.

(2) The service book shall contain the following particulars:

- (a) Personal details of the worker;
- (b) Date of appointment;
- (c) Nature of work;
- (d) Remuneration and benefits;
- (e) Leave record;
- (f) Promotions and transfers;
- (g) Disciplinary actions, if any;
- (h) Date of termination, if applicable.

Chapter 3: Provisions Relating to Conditions of Employment

Section 9: Working Hours

(1) The working hours of a worker shall not exceed eight hours per day or forty-eight hours per week.

(2) A worker shall be entitled to a rest period of at least half an hour after every five hours of continuous work.

(3) The working hours of a worker employed in hazardous work shall not exceed six hours per day.

Section 10: Weekly Holiday

(1) Every worker shall be entitled to one day of weekly holiday with full pay.

(2) The day of weekly holiday shall be as determined by the enterprise.

Section 11: Overtime Work

(1) An employer may require a worker to work overtime in the following circumstances:

- (a) In case of emergency affecting the enterprise or the public;
- (b) In case of work that must be completed without interruption;
- (c) In case of seasonal work requiring completion within a specified time;
- (d) In other circumstances as prescribed.

(2) The overtime work shall not exceed four hours per day and twenty-four hours per week.

Section 12: Overtime Remuneration

A worker who works overtime shall be paid remuneration at the rate of one and a half times the normal hourly rate for overtime work.

Section 13: Night Work

(1) Night work means work performed between 10:00 PM and 6:00 AM.

(2) A worker employed for night work shall be paid additional remuneration as prescribed.

(3) Female workers shall not be required to work between 10:00 PM and 6:00 AM, except in prescribed circumstances.

Section 14: Continuous Enterprise

An enterprise which operates continuously shall arrange for shifts as prescribed.

Chapter 4: Provisions Relating to Remuneration

Section 15: Minimum Remuneration

- (1) The Government of Nepal shall fix the minimum remuneration of workers on the recommendation of the Remuneration Fixation Committee.
- (2) The minimum remuneration fixed under Sub-section (1) shall be reviewed every two years.
- (3) No employer shall pay remuneration to a worker below the minimum remuneration fixed under Sub-section (1).

Section 16: Remuneration Fixation Committee

- (1) The Government of Nepal shall form a Remuneration Fixation Committee for the purpose of fixing minimum remuneration.
- (2) The composition of the Committee shall be as follows:
 - (a) A representative of the Government of Nepal — Chairperson;
 - (b) A representative of employers' organisations — Member;
 - (c) A representative of workers' organisations — Member;
 - (d) An expert in labour economics — Member.

Section 17: Time of Payment of Remuneration

- (1) An employer shall pay remuneration to a worker at regular intervals not exceeding one month.
- (2) Remuneration shall be paid on a working day and during working hours.

Section 18: Deduction from Remuneration

- (1) No deduction shall be made from the remuneration of a worker except in the following circumstances:
 - (a) Absence from work without leave;
 - (b) Damage to or loss of enterprise property due to worker's negligence;

- (c) Recovery of advances or overpayments;
- (d) Contributions to provident fund or social security;
- (e) Income tax as per law;
- (f) Other deductions as prescribed.

(2) The total deductions under Sub-section (1) shall not exceed twenty-five percent of the worker's monthly remuneration.

Section 19: Equal Remuneration

- (1) Equal remuneration shall be paid for work of equal value without discrimination on the basis of gender.
- (2) No employer shall discriminate between male and female workers in matters of remuneration for the same work or work of equal value.

Section 20: Gratuity

- (1) A worker who has completed five years of continuous service shall be entitled to gratuity at the rate of half month's remuneration for each year of service.
- (2) A worker whose employment is terminated by the employer without reasonable cause shall be entitled to gratuity proportionate to the period of service.
- (3) The gratuity under this section shall be paid by the employer at the time of termination of employment.

Chapter 5: Provisions Relating to Leave

Section 21: Types of Leave

A worker shall be entitled to the following types of leave:

- (a) Annual leave (home leave);
- (b) Sick leave;
- (c) Maternity leave;
- (d) Paternity leave;

- (e) Bereavement leave;
- (f) Public holidays;
- (g) Other leave as prescribed.

Section 22: Annual Leave (Home Leave)

- (1) A worker shall be entitled to one day of annual leave for every twenty days of work.
- (2) A worker may accumulate annual leave up to a maximum of ninety days.
- (3) Annual leave shall be granted at a time convenient to both the worker and the employer.

Section 23: Sick Leave

- (1) A worker shall be entitled to twelve days of sick leave with full pay per year.
- (2) Sick leave in excess of twelve days may be granted without pay or as prescribed.
- (3) A worker who avails sick leave for more than two consecutive days shall submit a medical certificate from a registered medical practitioner.

Section 24: Maternity Leave

- (1) A female worker shall be entitled to maternity leave of fourteen weeks with full pay.
- (2) The maternity leave under Sub-section (1) shall include a period of leave before and after delivery as prescribed.
- (3) A female worker shall not be required to work during the period of maternity leave.
- (4) An employer shall not terminate the employment of a female worker during the period of maternity leave.

Section 25: Paternity Leave

A male worker shall be entitled to paternity leave of fifteen days with full pay on the birth of his child.

Section 26: Bereavement Leave

A worker shall be entitled to bereavement leave of thirteen days with full pay on the death of a family member.

Section 27: Public Holidays

- (1) A worker shall be entitled to public holidays as declared by the Government of Nepal.
- (2) A worker required to work on a public holiday shall be paid remuneration at double the normal rate.

Section 28: Encashment of Leave

- (1) A worker shall be entitled to encashment of accumulated annual leave at the time of termination of employment.
- (2) A worker may, with the consent of the employer, encash a portion of accumulated annual leave during employment.

Chapter 6: Provisions Relating to Health and Safety

Section 29: Health and Safety Measures

- (1) Every employer shall make necessary arrangements for the health and safety of workers in the enterprise.
- (2) The health and safety measures under Sub-section (1) shall include:
 - (a) Cleanliness and hygiene in the workplace;
 - (b) Proper ventilation and lighting;
 - (c) Safe drinking water and sanitation facilities;
 - (d) Fire safety measures;
 - (e) First aid facilities;
 - (f) Personal protective equipment;
 - (g) Safety from hazardous substances;
 - (h) Other measures as prescribed.

Section 30: Medical Examination

- (1) An employer shall arrange for periodic medical examination of workers as prescribed.

(2) The cost of medical examination under Sub-section (1) shall be borne by the employer.

Section 31: Reporting of Accidents

(1) An employer shall report any accident occurring in the enterprise to the labour office as prescribed.

(2) Where an accident results in death or serious injury, the employer shall report the accident immediately.

Section 32: Compensation for Employment Injury

(1) An employer shall provide compensation to a worker who suffers injury or dies in the course of employment.

(2) The amount of compensation under Sub-section (1) shall be as prescribed.

Section 33: Group Insurance

An employer shall arrange for group insurance for workers as prescribed.

Chapter 7: Provisions Relating to Security of Employment

Section 34: Security of Employment

(1) No employer shall terminate the employment of a worker without reasonable cause and without following the prescribed procedure.

(2) The following shall be considered reasonable cause for termination:

- (a) Disobedience of lawful orders;
- (b) Misconduct;
- (c) Habitual absence without leave;
- (d) Dishonesty or fraud;
- (e) Conviction for a criminal offence;
- (f) Negligence causing serious loss to the enterprise;
- (g) Retirement on attainment of prescribed age;

- (h) Other grounds as prescribed.

Section 35: Procedure for Termination

- (1) An employer shall, before terminating the employment of a worker, give a written notice stating the grounds for termination.
- (2) The notice period for termination shall be as follows:
 - (a) For a worker who has completed less than one year of service: seven days;
 - (b) For a worker who has completed one year or more of service: thirty days.
- (3) An employer may, in lieu of notice, pay remuneration for the notice period.

Section 36: Separation Allowance

A worker whose employment is terminated after completing one year of continuous service shall be entitled to a separation allowance as prescribed.

Section 37: Retirement

- (1) The retirement age of a worker shall be fifty-eight years.
- (2) A worker may, with the consent of the employer, continue employment beyond the retirement age.

Section 38: Resignation

- (1) A worker may resign from employment by giving thirty days' written notice to the employer.
- (2) A worker who resigns shall be entitled to all benefits accrued up to the date of resignation.

Section 39: Unfair Labour Practices

No employer shall engage in the following unfair labour practices:

- (a) Interference with the formation or operation of a trade union;
- (b) Discrimination against a worker for trade union activities;
- (c) Threat of dismissal to prevent trade union activities;
- (d) Refusal to engage in collective bargaining in good faith;

- (e) Other unfair practices as prescribed.

Chapter 8: Special Provisions for Female Workers

Section 40: Equal Opportunity

- (1) Female workers shall have equal opportunity with male workers in all matters relating to employment.
- (2) No employer shall discriminate against female workers in matters of recruitment, training, promotion, and remuneration.

Section 41: Prohibition on Discrimination

No employer shall discriminate against a female worker on the ground of pregnancy or maternity.

Section 42: Sexual Harassment

- (1) No person shall commit sexual harassment against a female worker in the workplace.
- (2) An employer shall make necessary arrangements for the prevention of sexual harassment in the workplace.
- (3) An employer shall establish a complaint mechanism for redressal of sexual harassment complaints.

Section 43: Prohibition on Hazardous Work

Female workers shall not be employed in hazardous work as prescribed.

Section 44: Facilities for Female Workers

An employer shall provide the following facilities for female workers:

- (a) Separate and adequate sanitation facilities;
- (b) Safe working environment;
- (c) Facilities for nursing mothers as prescribed;
- (d) Other facilities as prescribed.

Chapter 9: Special Provisions for Disabled Workers

Section 45: Employment of Disabled Persons

- (1) An employer shall provide employment opportunities to persons with disabilities as prescribed.
- (2) An employer shall make reasonable accommodation for workers with disabilities.

Section 46: Facilities for Disabled Workers

An employer shall provide the following facilities for workers with disabilities:

- (a) Accessible workplace;
- (b) Assistive devices as prescribed;
- (c) Appropriate work assignments;
- (d) Other facilities as prescribed.

Chapter 10: Provisions Relating to Child Labour and Adolescent Workers

Section 47: Prohibition on Employment of Children

- (1) No person shall employ a child below the age of fourteen years in any enterprise.
- (2) No child shall be employed in hazardous work.

Section 48: Employment of Adolescents

- (1) An adolescent above the age of fourteen years and below the age of eighteen years may be employed in light work that is not hazardous.
- (2) The working hours of an adolescent shall not exceed six hours per day.
- (3) An adolescent shall not be required to work between 8:00 PM and 6:00 AM.

Section 49: Registration of Adolescent Workers

An employer who employs an adolescent shall maintain a register containing the following particulars:

- (a) Name and age of the adolescent;
- (b) Nature of work;
- (c) Working hours;
- (d) Name and address of the guardian.

Chapter 11: Provisions Relating to Trade Unions

Section 50: Right to Form Trade Union

- (1) Workers shall have the right to form trade unions for the protection and promotion of their occupational interests.
- (2) Trade unions shall be registered with the registrar of trade unions as prescribed.

Section 51: Registration of Trade Union

- (1) An application for registration of a trade union shall be submitted to the registrar of trade unions in the prescribed format.
- (2) The registrar shall, upon necessary inquiry, if the trade union meets the prescribed requirements, register the trade union and issue a certificate of registration.

Section 52: Minimum Membership

A trade union shall have at least the following number of members for registration:

- (a) For an enterprise-level trade union: twenty-five members or twenty-five percent of workers, whichever is less;
- (b) For a national-level trade union: one thousand members from at least ten enterprises.

Section 53: Rights of Trade Union

A registered trade union shall have the following rights:

- (a) To represent workers in matters relating to employment;
- (b) To negotiate with the employer on matters relating to conditions of employment;
- (c) To enter into collective agreements;
- (d) To participate in labour dispute resolution;
- (e) To perform such other functions as prescribed.

Section 54: Recognition of Trade Union

- (1) The trade union having the largest membership in an enterprise shall be recognised as the representative trade union for that enterprise.
- (2) The procedures for recognition of a trade union shall be as prescribed.

Chapter 12: Provisions Relating to Collective Bargaining

Section 55: Collective Bargaining

- (1) The employer and the recognised trade union shall engage in collective bargaining for the settlement of terms and conditions of employment.
- (2) Matters to be covered in collective bargaining shall include:
 - (a) Remuneration and benefits;
 - (b) Working hours and rest periods;
 - (c) Leave provisions;
 - (d) Health and safety measures;
 - (e) Grievance procedures;
 - (f) Other matters as agreed.

Section 56: Collective Agreement

- (1) An agreement reached through collective bargaining shall be reduced to writing and signed by the parties.
- (2) The collective agreement shall be binding on the employer and all workers covered by the agreement.
- (3) The collective agreement shall be submitted to the labour office for registration.

Section 57: Duration of Collective Agreement

- (1) A collective agreement shall remain in force for a period of two years unless otherwise agreed.
- (2) The parties may renew or amend the collective agreement by mutual consent.

Chapter 13: Provisions Relating to Settlement of Labour Disputes

Section 58: Labour Dispute

A labour dispute means any dispute or difference between the employer and workers relating to:

- (a) Employment or conditions of employment;
- (b) Terms and conditions of employment;
- (c) Rights and obligations of the parties;
- (d) Interpretation or implementation of laws, agreements, or awards;
- (e) Other matters relating to industrial relations.

Section 59: Settlement Procedures

- (1) A labour dispute shall be settled through the following procedures:
 - (a) Mutual negotiation between the parties;
 - (b) Conciliation by the labour office;
 - (c) Mediation;

(d) Arbitration;

(e) Adjudication by the Labour Court.

Section 60: Conciliation

- (1) Either party to a labour dispute may apply to the labour office for conciliation.
- (2) The labour office shall, upon receipt of an application, appoint a conciliation officer to conciliate the dispute.
- (3) The conciliation officer shall complete conciliation within thirty days from the date of appointment.

Section 61: Mediation

- (1) Where conciliation fails, either party may request mediation.
- (2) A mediator shall be appointed by mutual agreement of the parties or by the labour office.
- (3) The mediator shall complete mediation within fifteen days from the date of appointment.

Section 62: Arbitration

- (1) Where mediation fails, the parties may agree to refer the dispute to arbitration.
- (2) The arbitrator shall be appointed by mutual agreement of the parties.
- (3) The arbitration award shall be final and binding on the parties.

Section 63: Labour Court

- (1) Where the dispute is not settled through conciliation, mediation, or arbitration, either party may file a case in the Labour Court.
- (2) The Labour Court shall decide the case within the prescribed time limit.

Chapter 14: Provisions Relating to Labour Court

Section 64: Establishment of Labour Court

- (1) There shall be a Labour Court in each province as prescribed.

(2) The Labour Court shall have jurisdiction over all labour disputes and matters under this Act.

Section 65: Composition of Labour Court

(1) The Labour Court shall consist of a chairperson and two members.

(2) The chairperson shall be a person who has been a judge of a High Court or has at least ten years of experience as a district judge.

(3) One member shall be a representative of workers and the other a representative of employers.

Section 66: Functions of Labour Court

The Labour Court shall have the following functions:

- (a) To adjudicate labour disputes;
- (b) To decide claims relating to employment;
- (c) To hear appeals against orders of labour offices;
- (d) To perform such other functions as prescribed.

Section 67: Powers of Labour Court

(1) The Labour Court shall have the power to:

- (a) Summon and examine witnesses;
- (b) Require production of documents;
- (c) Issue orders and directions;
- (d) Enforce its decisions;
- (e) Exercise such other powers as prescribed.

Section 68: Procedures of Labour Court

(1) The Labour Court shall follow the procedures as prescribed.

(2) The Labour Court shall decide cases within ninety days from the date of filing.

Section 69: Appeal

- (1) A party who is not satisfied with the decision of the Labour Court may file an appeal before the High Court within thirty-five days from the date of the decision.
- (2) The appeal shall be heard and decided by the High Court within the prescribed time limit.

Chapter 15: Provisions Relating to Labour Audit

Section 70: Labour Audit

- (1) Every enterprise shall conduct a labour audit annually as prescribed.
- (2) The labour audit shall cover the following matters:
 - (a) Compliance with labour laws;
 - (b) Working conditions;
 - (c) Remuneration and benefits;
 - (d) Health and safety measures;
 - (e) Leave provisions;
 - (f) Social security contributions;
 - (g) Other matters as prescribed.

Section 71: Submission of Labour Audit Report

- (1) The employer shall submit the labour audit report to the labour office within the prescribed time limit.
- (2) The labour office shall examine the labour audit report and give necessary directions if deficiencies are found.

Section 72: Publication of Labour Audit

The employer shall make the labour audit report available to workers and publish it as prescribed.

Chapter 16: Provisions Relating to Offences and Penalties

Section 73: Offence of Non-Compliance with Working Hours

An employer who requires a worker to work in excess of the prescribed working hours shall be punished with a fine not exceeding fifty thousand rupees.

Section 74: Offence of Non-Payment of Remuneration

An employer who fails to pay remuneration to a worker within the prescribed time shall be punished with a fine not exceeding one hundred thousand rupees.

Section 75: Offence of Payment Below Minimum Remuneration

An employer who pays remuneration below the minimum remuneration shall be punished with a fine not exceeding two hundred thousand rupees.

Section 76: Offence of Discrimination

An employer who discriminates against a worker on the ground of gender, caste, ethnicity, religion, or disability shall be punished with imprisonment for a term not exceeding six months or a fine not exceeding one hundred thousand rupees, or both.

Section 77: Offence Relating to Child Labour

(1) A person who employs a child below the age of fourteen years shall be punished with imprisonment for a term not exceeding one year or a fine not exceeding two hundred thousand rupees, or both.

(2) A person who employs a child in hazardous work shall be punished with imprisonment for a term not exceeding two years or a fine not exceeding five hundred thousand rupees, or both.

Section 78: Offence Relating to Health and Safety

An employer who fails to make necessary arrangements for the health and safety of workers shall be punished with a fine not exceeding two hundred thousand rupees.

Section 79: Offence Relating to Leave

An employer who denies a worker the leave entitlement under this Act shall be punished with a fine not exceeding fifty thousand rupees.

Section 80: Offence Relating to Termination

An employer who terminates the employment of a worker without reasonable cause or without following the prescribed procedure shall be punished with imprisonment for a term not exceeding six months or a fine not exceeding two hundred thousand rupees, or both.

Section 81: Offence Relating to Sexual Harassment

A person who commits sexual harassment against a female worker shall be punished with imprisonment for a term not exceeding six months or a fine not exceeding one hundred thousand rupees, or both.

Section 82: Offence Relating to Trade Union

An employer who interferes with the formation or operation of a trade union shall be punished with imprisonment for a term not exceeding one year or a fine not exceeding two hundred thousand rupees, or both.

Section 83: Offence of Obstruction

A person who obstructs a labour inspector in the performance of his/her duties shall be punished with imprisonment for a term not exceeding three months or a fine not exceeding fifty thousand rupees, or both.

Section 84: Offence of Providing False Information

A person who provides false information to the labour office or labour inspector shall be punished with imprisonment for a term not exceeding six months or a fine not exceeding one hundred thousand rupees, or both.

Chapter 17: Miscellaneous

Section 85: Labour Inspector

(1) The Government of Nepal may designate labour inspectors for the inspection of enterprises.

(2) A labour inspector shall have the following powers:

- (a) To enter and inspect an enterprise at any reasonable time;
- (b) To examine records and documents;
- (c) To obtain statements from the employer or workers;
- (d) To take samples of materials;
- (e) To exercise such other powers as prescribed.

Section 86: duties of Labour Inspector

A labour inspector shall perform the following duties:

- (a) To inspect enterprises for compliance with labour laws;
- (b) To investigate complaints relating to violation of labour laws;
- (c) To provide advice to employers and workers on labour laws;
- (d) To submit inspection reports to the labour office;
- (e) To perform such other duties as prescribed.

Section 87: Remuneration Fixation Committee

(1) The Government of Nepal shall form a Remuneration Fixation Committee as prescribed.

(2) The Committee shall fix the minimum remuneration of workers as prescribed.

Section 88: Advisory Committee

(1) The Government of Nepal may form an advisory committee at the central and provincial levels for advice on labour matters.

(2) The composition and functions of the advisory committee shall be as prescribed.

Section 89: Tripartite Committee

(1) The Government of Nepal may form a tripartite committee involving representatives of the Government, employers, and workers for consultation on labour policy and programmes.

(2) The functions of the tripartite committee shall be as prescribed.

Section 90: Delegation of Powers

(1) The Government of Nepal may delegate any of the powers conferred on it under this Act to any authority or officer.

(2) The authority or officer to whom powers are delegated shall exercise such powers subject to the conditions as prescribed.

Section 91: Power to Give Directions

The Government of Nepal may give necessary directions to any authority or officer for the implementation of this Act.

Section 92: Protection of Action Taken in Good Faith

No action shall be taken against any person for any action taken in good faith under this Act.

Section 93: Prevailing Law to Apply

Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by the prevailing law.

Section 94: Removal of Difficulty

If any difficulty arises in connection with the implementation of this Act, the Government of Nepal may, by notification in the Nepal Gazette, issue necessary orders to remove such difficulty.

Section 95: Repeal and Saving

(1) The Labour Act, 2048 (1992) is hereby repealed.

(2) All acts and actions done or taken under the Act referred to in Sub-section (1) shall be deemed to have been done or taken under this Act.

Section 96: Power to Make Rules

The Government of Nepal may make necessary rules for the implementation of this Act.

Key Metadata

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Commencement Date	2074.6.29 BS
Total Sections	96 (as amended)
Total Chapters	17
Primary Regulator	Ministry of Labour, Employment and Social Security; Department of Labour
Scope	Comprehensive regulation of employment relationships, conditions of work, remuneration, leave, health and safety, trade unions, collective bargaining, labour disputes, and labour courts
Related Legislation	Contribution-Based Social Security Act 2074, Foreign Employment Act 2064, Industrial Enterprises Act 2076, Child Labour Act 2056
Amendments	Amended by various Acts including Labour (First Amendment) Act, 2077
Current Status	In force; primary labour legislation of Nepal